Systematic cost–benefit analysis is useful insofar as it combats the intuitive human failure of the sunk cost fallacy. Formal calculations for cost–benefit analysis help us to look forward, and thus reduce the extent to which we are deluded by the sunk cost fallacy.

Ex post review

Every legal instrument should state its objective at the outset. After three years have elapsed, an empirical examination of whether these objectives were met should be mandatory. In some situations, there is a role for ‘sunset clauses’ where laws are automatically repealed after a certain time period elapses.

As an example, land reform in Maharashtra, through the Bombay Tenancy and Agricultural Lands Act, 1948, was considered a revolutionary step forward in its time. We can debate whether it was optimal in its time, but there is little doubt that it is out of touch with the questions that we face today. Under this Act, even farmer-to-farmer leasing of land is prohibited. A systematic mechanism of ex post review would bubble up such laws into periodic review.

Too often in India, interventions are put into place without explicitly stating the problem that is sought to be solved. A first objective is articulated, but the moment it is clear that this did not work out, the goalpost is shifted. It is a healthy discipline to require the release of a documentation packet, associated with each intervention, where the problem that is sought to be solved is clearly stated. This will support ex post evaluation of whether the intervention did indeed help solve the problem that it set out to solve. This formal documentation will take away the possibility of shifting goalposts.

This will help reveal mistakes that need to be reversed. Clarity about objectives, and the calculations associated with cost–benefit analysis, will help the Comptroller and Auditor General (CAG) work on policy initiatives